AN INTRODUCTION

This is for the first time, probably, that the Economic Survey includes 'an introduction' to it. credit goes to Raghuram G. Rajan, Chief Economic Adviser, Ministry of Finance.

There are ***three objectives*** for India that are echoed through much of the Economic Survey.

1. First, India has to revive growth, and that growth has to provide more decent jobs for the many millions who will join the labor force, even while reducing poverty .
2. Second, India needs to shift from consumption to investment, that is, increase our savings especially government savings and household financial savings, even as we also increase corporate and infrastructure investment.
3. Third, India needs macroeconomic stabilisation to bring down inflation, the fiscal deficit and the current account deficit.

There are similarities between some of these objectives, as also apparent tensions. For example, rebalancing towards *investment* can potentially raise growth as well as alleviate supply constraints, reduce inflation, and thus achieve macro stabilisation. On the other hand, *fiscal consolidation* is often thought to be detrimental to growth in the short-run. However, this tension may only be apparent. Macroeconomic rigour may, in fact, lead to growth; cutting wasteful subsidies may reduce market distortions, shrink excess consumption, and increase confidence about government finances, all of which can help growth, even in the short-run.

The Survey cites a number of factors responsible for the ***recent slowdown*** –

i. First, the boost to demand given by monetary and fiscal stimulus following the global financial crisis was large, even though the economy was already reaching the limits to its potential growth before the crisis. The resulting recovery from the crisis was strong and final consumption grew at an average of over 8 percent annually between 2009-10 and 2011-12. One consequence was strong inflation, and a powerful monetary response that also slowed consumption demand.